CORRELATION BETWEEN TWO VARIABLES

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☐ interpret correlation between two variables to address an investment problem

Scatter Plot

A **scatter plot** is a useful tool for displaying and understanding potential relationships between two variables. Suppose an analyst is interested in the relative performance of two sectors, information technology (IT) and utilities, compared to the market index over a specific five-year period. The analyst has obtained the sector and market index returns for each month over the five years under investigation. Exhibit 24 presents a scatterplot of returns for the IT sector index versus the S&P 500, and Exhibit 25 presents a scatterplot of returns for the utilities sector index versus the S&P 500.

Tight (loose) clustering signals a potentially stronger (weaker) relationship between the two variables.

Exhibit 24: Scatter Plot of Information Technology Sector Index Return versus S&P 500 Index Return